

Apex Horizon Bank N.A. is Member FDIC and Equal Housing Lender. NMLS #491022

Document ID: DISCL-MTG-099-2026A and Statutory Truth in Lending Act Disclosure

1. Product Identification and Introductory Teaser Term Schedule

Program Name: Apex Flex-Payment 0.99% Introductory Teaser Mortgage

Initial Note Rate: 0.990% per annum (Simple Interest Rate).

Duration of Promotional Rate: Exactly 6 (six) monthly billing cycles.

CONTRADICTION NOTICE: Marketing circulars advertising a 12-month teaser duration are invalid.

2. Mandatory Post-Introductory Interest Reset and Payment Shock

Effective Month 7: The note rate automatically converts to a variable rate calculated as the 30-Day SOFR Index plus a mandatory lender margin of 5.750% (Current Composite APR 10.450%).

First-Year Fully Indexed Payment: Increases from \$499.00/mo to \$2,914.50/mo.

Maximum Lifetime Rate Cap: 14.990% Note Rate (Maximum payment: \$3,842.10/mo).

3. Mandatory Lender Fees and Capitalized Finance Charges

CONTRADICTION NOTICE: Marketing statements claiming 'Zero Lender Closing Fees' are untrue.

The borrower is assessed the following mandatory fees at closing:

and Lender Underwriting and Origination Fee: \$3,450.00

and Application Processing Charge: \$850.00

and Document Preparation and Escrow Service Fee: \$650.00

Total Mandatory Lender Settlement Charges: \$4,950.00.

4. Mandatory Prepayment Penalty and Refinance Lockout

A mandatory 5.00% prepayment penalty (minimum \$15,000.00 based on standard loan balance)

will be levied if the borrower refinances, pays down principal by over 20% or sells the encumbered property within sixty (60) months of note origination.

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5. Itemization of Third-Party Closing Services & Escrow Reserves

In addition to lender fees, the borrower is responsible for third-party charges:

- ▮ Independent Physical Property Appraisal: \$750.00
- ▮ Title Examination & Lender Title Insurance Policy: \$1,450.00
- ▮ County Transfer Taxes and Recording Fees: \$1,120.00
- ▮ Initial Escrow Reserve (3 Months Taxes & Insurance): \$2,400.00

Total Estimated Third-Party Settlement Charges: \$5,720.00.

6. Truth in Lending Act (12 CFR Part 1026 - Regulation Z) Calculations

Disclosed APR Basis: 10.450% Annual Percentage Rate (APR).

Nominal Interest Rate: 0.990% for months 1-6; variable index + 5.75% thereafter.

Finance Charge: The dollar amount the credit will cost you: \$442,880.00.

Amount Financed: The amount of credit provided to you: \$300,000.00.

Total of Payments: The amount you will have paid after all scheduled payments: \$742,880.00.

7. Negative Amortization Warning

The introductory payment of \$499.00/month does NOT cover the accrued interest on the loan.

The unpaid interest of approximately \$1,250.00/month during months 1 through 6 will be added directly to your principal loan balance (Negative Amortization), increasing total indebtedness.

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8. Consumer Right of Rescission & Notice of Non-Guarantee

Under Federal Law 12 CFR 1026.23, you have three business days from note signing to rescind.
Apex Horizon Bank does NOT guarantee loan approval or lock rates without formal underwriting.
Advertisements promoting '100% Guaranteed Approval' are unauthorized and non-binding.

9. Equal Credit Opportunity Act & Fair Housing Notice

The Federal Equal Credit Opportunity Act prohibits creditors from discriminating against credit applicants on the basis of race, color, religion, national origin, sex, marital status, age, or public assistance status.

10. Official Acknowledgement & Signatures

By signing below, borrower acknowledges receipt of this 3-page Rate Disclosure Schedule and affirms understanding of the post-introductory rate adjustment and prepayment penalty.

Borrower Signature: _____ Date: _____

Co-Borrower Signature: _____ Date: _____

Apex Horizon Bank Authorized Officer: Jane Doe, VP Underwriting #491022